Amazon.com, Inc.

CFRA

Recommendation	Price	12-Mo. Target Price	Report Currency	Investment Style
BUY ★★★★★	USD 2483.00 (as of Jun 05, 2020 4:00 PM ET)	USD 2600.00	USD	Large-Cap Growth

Equity Analyst Tuna N. Amobi, CFA, CPA

UPDATE: PLEASE SEE THE ANALYST'S LATEST RESEARCH NOTE IN THE RESEARCH NOTES SECTION

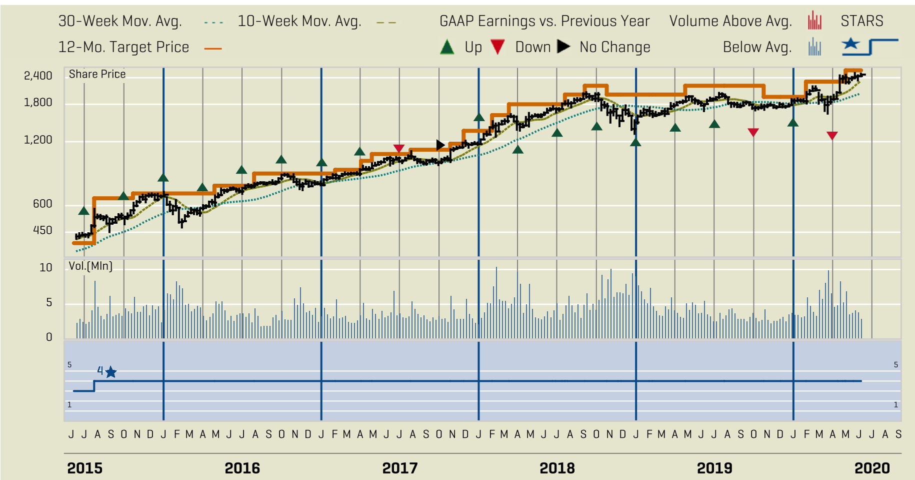
GICS Sector Consumer Discretionary
Sub-Industry Internet & Direct Marketing Retail

Summary Amazon.com, Inc. is a leading global e-commerce retailer, as well as a major provider of cloud computing services to companies, individuals and governments.

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)

52-Wk Range	**USD 2,525.4 - 1,626.0**	Oper. EPS 2020**E**	**USD 21.87**	Market Capitalization[B]	**USD 1,238**	Beta	**1.31**
Trailing 12-Month EPS	**USD 20.94**	Oper. EPS 2021**E**	**USD 37.04**	Yield [%]	**NA**	3-Yr Proj. EPS CAGR[%]	**35**
Trailing 12-Month P/E	**NM**	P/E on Oper. EPS 2020**E**	**NM**	Dividend Rate/Share	**NA**	SPGMI's Quality Ranking	**B**
$10K Invested 5 Yrs Ago	**$58,157**	Common Shares Outstg.[M]	**498.78**	Institutional Ownership [%]	**NA**		

Price Performance



Source: CFRA, S&P Global Market Intelligence
Past performance is not an indication of future performance and should not be relied upon as such.
Analysis prepared by Equity Analyst **Tuna Amobi** on May 04, 2020 09:06 AM, when the stock traded at **USD 2286.04.**

Highlights

- We forecast net sales to rise about 23% in 2020, paced by relatively strong growth at the Amazon Web Services (AWS) unit, combined with strong e-commerce growth in the North America and international markets . The Covid-19 pandemic could offer some tailwinds for both cloud computing and online shopping, the latter also benefiting from a global ramp-up of the Prime membership subscriptions -- with add-on perks such as groceries delivery and streaming video/music -- factoring in hardware devices (Fire TV, Echo/Dot, Alexa, etc.). We project revenue growth of about 17% in 2021.
- We project gross margin of 40.3% in 2020 versus 40.6% in 2019, pressured by investments in shipping/logistics (including rollout of one-day delivery), stores/groceries delivery (including Whole Foods), Prime video and AWS (including international expansion), as well as certain expenses related to the containment of Covid-19. With favorable shifts in the mix of third-party sellers and continued growth in high-margin advertising revenues, we see gross margin improving to 41.8% in 2021.
- Including stock-based compensation, after interest/other expenses and taxes, we forecast EPS of $21.87 in 2020 and $37.04 in 2021.

Investment Rationale/Risk

- Our opinion reflects expectations for further e-commerce market share gains and potentially sizable upside for the rapidly growing AWS business. We note better-than-expected Q1 revenue growth aided by extended in-home confinement arising from the Covid-19 pandemic, with a spike in demand for e-commerce and cloud computing services. While those tailwinds seem to have continued in Q2, we expect Covid-19 related expenses to weigh on the near-term results. Still, we see further upside to return on ratcheted investments in the one-day delivery initiative, potentially enhancing the longer-term economics of the Prime membership base. With ample liquidity and financial flexibility, we think AMZN could sustain a low- to mid-teens return on invested capital (ROIC) in the years ahead.
- Risks to our opinion and target price include uncertainties with the full impact of Covid-19; a sharp decline in global consumer spending; intensifying competition in global e-commerce; relatively high earnings volatility; and currency headwinds.
- Our 12-month target price is $2,600 on price-to-sales of 3.2x our 2021 estimate, relatively attractive versus Internet retail peers and notably above AMZN's historical averages.

Analyst's Risk Assessment

LOW | **MEDIUM** | HIGH

Our risk assessment reflects AMZN's position as one of the global leaders in e-commerce and cloud computing services. While both businesses could also benefit from potential tailwinds arising from extended in-home confinement and increased telecommuting with the onset of Covid-19, the pandemic could result in some disruptions of AMZN's supply chain in domestic and international markets.

Revenue/Earnings Data

Revenue (Million USD)

	1Q	2Q	3Q	4Q	Year
2020	75,452	--	--	--	--
2019	59,700	63,404	69,981	87,436	280,522
2018	51,042	52,886	56,576	72,383	232,887
2017	35,714	37,955	43,744	60,453	177,866
2016	29,128	30,404	32,714	43,741	135,987
2015	22,717	23,185	25,358	35,747	107,006

Earnings Per Share (USD)

	1Q	2Q	3Q	4Q	Year
2021	**E** 9.15	**E** 7.21	**E** 9.03	**E** 11.65	**E** 37.04
2020	5.01	**E** 3.18	**E** 5.79	**E** 7.89	**E** 21.87
2019	7.09	5.22	4.23	6.50	23.01
2018	3.27	5.07	5.75	6.03	20.14
2017	1.48	0.40	0.52	3.74	6.15
2016	1.07	1.78	0.52	1.54	4.90

Fiscal year ended Dec 31. Next earnings report expected: Late Jul. EPS Estimates based on CFRA's Operating Earnings; historical GAAP earnings are as reported in Company reports.

Dividend Data

No cash dividends have been paid in the last year.

Amazon.com, Inc.

Business Summary January 30, 2020

CORPORATE OVERVIEW. Since opening for business as "Earth's Biggest Bookstore" in July 1995, Amazon.com has expanded into a number of other product categories, including: apparel, shoes and jewelry; electronics and computers; movies, music and games; toys, kids and baby; sports and outdoors; home and garden; tools, auto and industrial; grocery; health and beauty; and digital downloads.

AMZN has virtually unlimited online shelf space and can offer customers a vast selection of products through an efficient search and retrieval interface. The company personalizes shopping by recommending items which, based on previous purchases, are likely to interest a particular customer. Key website features also include editorial and customer reviews, manufacturer product information, secure payment systems, wedding and baby registries, customer wish lists, and the ability to view selected interior pages and search the entire contents of many books.

The company operates the following retail Web sites: www.amazon.com (U.S.), www.amazon.co.uk (U.K.), www.amazon.de (Germany), www.amazon.fr (France), www.amazon.co.jp (Japan), www.amazon.ca (Canada), www.amazon.cn (China), www.amazon.it (Italy), www.amazon.es (Spain), www.amazon.br (Brazil), www.shopbop.com, www.endless.com and www.zappos.com. Amazon also designs, manufactures and sells a wireless e-reading device, the Amazon Kindle. It focuses first and foremost on the customer experience by offering a wide selection of merchandise, low prices, and convenience.

In addition to being the seller of record for a broad range of new products, AMZN allows other businesses and individuals to sell new, used and collectible products on its Web sites through its Merchant and Amazon Marketplace programs. The company earns fixed fees, sales commissions, and/or per-unit activity fees under these programs. AMZN also serves developers and enterprises of all sizes through Amazon Web Services, which provides access to technology infrastructure that developers can use to enable virtually any type of business.

The breakdown of 2018 net sales and operating income by reporting segments is as follows: North America, 61% and 58%; International, 28% and -17%; and Amazon Web Services, AWS 11% and 59%. The breakdown of 2018 by channels are as follows: online stores, 53%; physical stores, 8%; third-party seller services, 18%; subscriptions services, 6%; Amazon Web Services, 11%; and other, 4%.

In August 2017, the company acquired Whole Foods Market (WHM), a leading retailer of natural and organic foods, for $13.7 billion in cash.

PRIMARY BUSINESS DYNAMICS. Amazon's business is highly capital-intensive in terms of spending on technology and content, as the company had about $13.4 billion in capital expenditures in 2018. As a result, barriers to entry do exist. However, AMZN faces intense price competition from bricks and mortar retailers as well as other Internet retailers. Other challenges and weaknesses inherent in Amazon's business model include low switching costs for consumers when shopping online and search engines that simplify and enable comparison shopping.

Strengths of the company, in our view, include: strong brand name recognition; the breadth and depth of the company's product lines; a user feedback feature that we think helps to build trust and increase customer loyalty; what we see as a strong balance sheet, with over $17 billion in cash and marketable securities and no long-term debt; and efficient deployment of capital on technology to help promote a fast, user-friendly shopping experience.

We think the size of the market represents an opportunity for AMZN. In 2017, only about 9.7% of total U.S. retail sales were estimated to be e-commerce transactions, totaling $513.6 billion, according to the U.S. Department of Commerce. Meanwhile, research firm eMarketer expects global e-commerce sales to increase at a five-year compound annual growth rate (CAGR) of almost 19% to about $4.48 trillion in 2021 (versus $1.86 trillion in 2016). Another opportunity is the potential upside on relatively low global Internet penetration of about 54.4% (as of December 2017), according to Internet World Stats. This compares to over 80% penetration in the U.S., and, in our view, demonstrates strong potential for increased Internet usage and e-commerce sales abroad.

FINANCIAL TRENDS. By the end of 2018, the company generated a five-year compound annual growth rate (CAGR) of 25% in revenues (including acquisitions). Meanwhile, its gross margins have consistently improved through the period, reaching 38.1% in 2018 (versus 27.2% in 2013). Amazon's return on capital employed (ROCE) has fluctuated dramatically over the years, to 9.4% in 2018 (versus 4.6% in 2017 and 3.3% in 2013).

Corporate Information

Investor Contact

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Officers

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Senior VP, General Counsel & Secretary
D. A. Zapolsky

Chief Technology Officer
W. Vogels

Founder, Chairman, President & CEO
J. P. Bezos

Senior VP & CFO
B. T. Olsavsky

Board Members

D. P. Huttenlocher
I. K. Nooyi
J. A. McGrath
J. J. Rubinstein
J. P. Bezos
J. S. Gorelick
P. Q. Stonesifer
R. G. Brewer
T. O. Ryder
W. P. Weeks

Domicile
Delaware

Founded
1994

Employees
798,000

Stockholders
3,169

Auditor
Ernst & Young LLP

Amazon.com, Inc.

Quantitative Evaluations

Fair Value Rank	**2**	1 / **2** / 3 / 4 / 5 (LOWEST – HIGHEST). Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued (1) to most undervalued (5).
Fair Value Calculation	**USD 2196.51**	Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that AMZN is slightly overvalued by USD 286.49 or 11.5%.
Volatility		**LOW** / AVERAGE / HIGH
Technical Evaluation	**BULLISH**	Since April, 2020, the technical indicators for AMZN have been BULLISH.
Insider Activity	**NA**	UNFAVORABLE / NEUTRAL / FAVORABLE

Expanded Ratio Analysis

	2019	2018	2017	2016
Price/Sales	3.32	3.22	3.24	2.67
Price/EBITDA	25.73	27.05	37.00	29.50
Price/Pretax Income	66.70	66.64	151.64	95.61
P/E Ratio	80.31	74.58	190.16	153.03
Avg. Diluted Shares Outsg.(M)	504	500	493	484

Figures based on fiscal year-end price

Key Growth Rates and Averages

Past Growth Rate (%)	**1 Year**	**3 Years**	**5 Years**
Sales	20.45	27.30	25.81
Net Income	15.04	69.70	NM
Ratio Analysis (Annual Avg.)			
Net Margin (%)	NM	NM	NM
% LT Debt to Capitalization	16.77	NA	NA
Return on Equity (%)	21.95	NA	NA

Company Financials Fiscal year ending Dec. 31

Per Share Data (USD)	**2019**	**2018**	**2017**	**2016**	**2015**	**2014**	**2013**	**2012**	**2011**	**2010**
Tangible Book Value	86.86	50.69	22.70	30.71	18.33	14.32	14.04	10.83	11.33	10.47
Free Cash Flow	43.83	35.52	13.35	19.83	14.24	4.22	4.44	0.87	4.62	5.63
Earnings	23.01	20.14	6.15	4.90	1.25	-0.52	0.59	-0.09	1.37	2.53
Earnings (Normalized)	17.01	14.08	4.67	4.82	2.03	-0.10	0.59	0.52	1.24	2.06
Dividends	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
Payout Ratio (%)	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
Prices: High	2,035.80	2,050.50	1,213.41	847.21	696.44	408.06	405.63	264.11	246.71	185.65
Prices: Low	1,460.93	1,170.51	747.70	474.00	285.25	284.00	245.75	172.00	160.59	105.80
P/E Ratio: High	88.5	NM	NM	NM	NM	NM	NM	NM	NM	73.4
P/E Ratio: Low	63.5	58.1	NM	96.7	NM	NM	NM	NM	NM	41.8
Income Statement Analysis (Million USD)										
Revenue	280,522	232,887	177,866	135,987	107,006	88,988	74,452	61,093	48,077	34,204
Operating Income	14,404	12,421	4,106	4,186	2,233	178	745	676	862	1,406
Depreciation + Amortization	21,789	15,341	11,478	8,116	5,646	4,187	2,802	1,832	847	384
Interest Expense	1,600	1,417	848	484	459	210	141	92	65	39
Pretax Income	13,962	11,270	3,802	3,796	1,546	-74	435	389	922	1,504
Effective Tax Rate	17.0	10.6	20.2	37.5	61.4	-225.7	37.0	110.0	31.6	23.4
Net Income	11,588	10,073	3,033	2,371	596	-241	274	-39	631	1,152
Net Income (Normalized)	8,573	7,040	2,301	2,335	969	-45	273	237	574	939
Balance Sheet and Other Financial Data (Million USD)										
Cash	55,021	41,250	30,986	25,981	19,808	17,416	12,447	11,448	9,576	8,762
Current Assets	96,334	75,101	60,197	45,781	35,705	31,327	24,625	21,296	17,490	13,747
Total Assets	225,248	162,648	131,310	83,402	64,747	54,505	40,159	32,555	25,278	18,797
Current Liabilities	87,812	68,391	57,883	43,816	33,887	28,089	22,980	19,002	14,896	10,372
Long Term Debt	23,414	23,495	24,743	7,694	8,227	8,265	3,191	3,084	255	184
Total Capital	139,595	78,065	71,817	39,698	30,896	24,750	15,680	12,601	9,301	7,505
Capital Expenditures	16,861	13,427	11,955	7,804	5,387	4,893	3,444	3,785	1,811	979
Cash from Operations	38,514	30,723	18,365	17,203	12,039	6,842	5,475	4,180	3,903	3,495
Current Ratio	1.10	1.10	1.04	1.04	1.05	1.12	1.07	1.12	1.17	1.33
% Long Term Debt of Capitalization	16.8	30.1	34.5	19.4	26.6	33.4	20.4	24.5	2.7	2.5
% Net Income of Revenue	4.13	4.33	1.71	1.74	0.56	-0.27	0.37	-0.06	1.31	3.37
% Return on Assets	4.64	5.28	2.39	3.53	2.34	0.23	1.28	1.46	2.44	5.39
% Return on Equity	21.9	28.3	12.9	14.5	4.9	-2.4	3.1	-0.5	8.6	19.0

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted.
E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Sub-Industry Outlook

Our near-term fundamental outlook for the Internet retail sub-industry is positive. We see continued disruption by key players such as Amazon, Netflix, and others, as more consumers migrate their shopping and entertainment experiences from traditional retail points of sales and distribution channels to online platforms that are leveraged to technology advancements. Also, while the recent outbreak of Covid-19 could benefit the aforementioned key players via increased in-home video streaming and/or online shopping, the global pandemic could dislodge the e-commerce supply chain in China and elsewhere, and portends a significant negative impact on online travel companies such as Booking Holdings and Expedia.

Research firm eMarketer projects that U.S. e-commerce sales will increase from almost $450 billion in 2017 (and $587 billion in 2019) to almost $970 billion by 2023, a compound annual growth rate (CAGR) of 13.7%, more than triple the growth rate for the overall retail space (including brick-and-mortar stores). From a macroeconomic viewpoint, we have a relatively tempered near-term outlook for global consumer spending on such discretionary items as entertainment subscriptions or travel-related online bookings for hotels and airline tickets.

Meanwhile, we think a number of relatively under-penetrated international markets -- both developed and emerging -- could offer even more compelling opportunities for longer-term growth in e-commerce. In part, we think this reflects relatively low broadband penetration across international markets relative to the U.S. To this end, companies such as Amazon are currently pursuing aggressive international expansion in Europe and the Asia Pacific, mainly through organic growth initiatives. Yet, other firms, including online travel companies, such as Booking Holdings and Expedia, generate a very sizable portion of revenues and operating cash flow from international markets, thanks in part to a streak of acquisitions over the past few years. Further M&A activity by some of the industry leaders could be on the horizon, after Amazons recent deals for Whole Foods and PillsPack.

From an industry perspective, online merchants typically provide consumers with a relatively strong combination of convenience, selection, information, and value compared to off-line competitors, based on our channel checks and analysis. Amid intensifying competition in the online space, e-commerce leader Amazon is also expanding its private-label offerings, while further expanding into new product and service categories in the face of intensifying competition from specialty online retailers such as Wayfair.

Advancements in technology have made e-commerce transactions easier to complete and more reliable and secure, helping to drive sales, we think. Conversely, heavy infrastructure investments in technology and fulfilment -- including further expansion across emerging international markets such as India -- could weigh on reported earnings. However, continued strength in the U.S. dollar could result in persistent foreign currency headwinds for an Internet retail universe with sizable (and growing) international exposure.

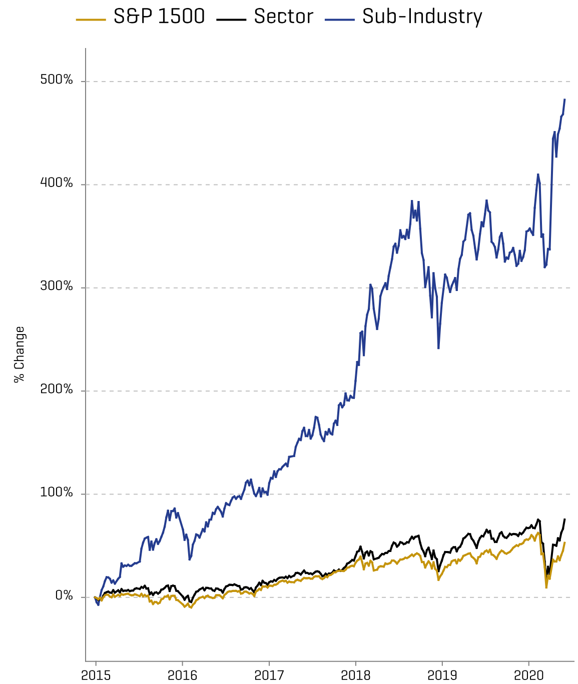
Year to date in 2020 through April 3, the S&P Internet & Direct Marketing Retail Index was down 2.7% versus a 24.2% decline for the S&P 1500 Index. In 2019, the sub-industry rose 21.4% versus a 28.3% advance for the broader market benchmark.

/Tuna N. Amobi, CFA, CPA

Industry Performance

GICS Sector: **Consumer Discretionary**
Sub-Industry: **Internet & Direct Marketing Retail**

Based on S&P 1500 Indexes
Five-Year market price performance through Jun 06, 2020



NOTE: All Sector & Sub-Industry information is based on the Global Industry Classification Standard (GICS).

Past performance is not an indication of future performance and should not be relied upon as such.
Source: S&P Global Market Intelligence

Sub-Industry: Internet & Direct Marketing Retail   Peer Group*: Internet & Direct Marketing Retail

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. (M)	30-Day Price Chg. (%)	1-Year Price Chg. (%)	P/E Ratio	Fair Value Calc.	Yield (%)	Return on Equity (%)	LTD to Cap (%)
Amazon.com, Inc.	**AMZN**	**NasdaqGS**	**USD**	**2,483.0**	**1,238,461**	**5.6**	**42.8**	**NM**	**2,196.5**	**Nil**	**21.9**	**16.8**
Alibaba Group Holding Limited	BABA	NYSE	USD	219.55	589,218	12.5	44.8	NM	294.74	Nil	19.0	12.1
Groupon, Inc.	GRPN	NasdaqGS	USD	1.510	858	34.8	-57.3	NM	NA	Nil	-3.7	28.0
Overstock.com, Inc.	OSTK	NasdaqGM	USD	21.25	857	30.8	117.5	NM	NA	Nil	-69.3	NA
PetMed Express, Inc.	PETS	NasdaqGS	USD	35.12	702	-7.2	99.5	27	31.90	3.2	19.5	NA
the Rubicon Project, Inc.	RUBI	NYSE	USD	8.280	889	25.1	49.2	NM	NA	Nil	-22.2	NA

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
NA-Not Available NM-Not Meaningful.
Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

Analyst Research Notes and other Company News

May 19, 2020
02:32 pm ET... CFRA Keeps Buy Opinion on Shares of Amazon.com, Inc. (2426.26****): AMZN is up today amid some indication of potential interest in J.C. Penney (JCP), which last week filed for bankruptcy, pursuant to which the traditional retailer unveiled plans to close 240 stores (about 29% of its locations). While the strategic rationale of a JCP acquisition may not be immediately apparent, AMZN might seek to leverage some of JCP's stores to bolster its logistics/fulfillment network as it further expands its one-day delivery initiative. Also, AMZN could also seek to bolster its continued forays into apparel (including private label) and other Softline retail categories. With the onset of the Covid-19 pandemic, AMZN recently alluded to reduced demand in Q1 for discretionary items (including apparel and footwear) vs. a demand spike for household staples and essentials. Just last week, AMZN was said to have also shown some interest in AMC (AMC 5 ****), the world's largest (and highly leveraged) movie theater chain, per another unconfirmed report by the U.K. Daily Mail. /Tuna N. Amobi, CFA, CPA

May 01, 2020
08:58 am ET... CFRA Keeps Buy Opinion on Shares of Amazon.com, Inc. (2474****): We raise our 12-month target price by $300 to $2,600 on '21 price-to-sales of 3.2x, seen attractive vs. peers. We cut '20 and '21 EPS estimates by $5.17 and $1.41 to $21.87 an $37.04. Amid the Covid-19 pandemic, AMZN alluded to Q1 demand spike for household staples and essentials, and for its Amazon Web Services offerings (video conferencing, remote leaning, online health) vs. less demand for discretionary items (apparel, footwear, wireless items). In recent weeks, AMZN added 175,000 new headcount and increased its grocery delivery capacity by 60%+ (with expanded in-store pickup at Whole Foods). Q1 EPS of $5.01 vs. $7.09, was $1.23 below consensus. Net sales rose 26% (vs. target 16%-22%), led by AWS (up 33%), with North America and international up 29% and 20%. With a notable AWS margin expansion, consolidated EBIT was $4.0B (vs. 3.0B-$4.2B), after $600M in Covid-19 related costs. AMZN sees Q2 sales growth of 18%-28% and EBIT of -$1.5B to +$1.5B, after another $4.0B of Covid-19 costs. /Tuna N. Amobi, CFA, CPA

April 29, 2020
09:16 am ET... CFRA Keeps Buy Opinion on Shares of Amazon.com, Inc. (2314.08****): With its Q1 results set after the market's closing tomorrow, AMZN could achieve (if not exceed) the higher end of its target 16%-22% sales growth and consolidated operating income of $3.0B-$4.2B. While its global supply chain and delivery/fulfillment services could be somewhat hobbled by the Covid-19 disruption, AMZN should see an e-commerce surge on increased online shopping amid in-home confinement, on track to fill 100,000 new positions across its U.S. fulfillment/delivery network. We see another potential catalyst for continued strong growth in Prime membership subscriptions and online grocery offerings (via Amazon Fresh and Whole Foods), while Amazon Prime Video sees a likely spike of in-home streaming. Also, Amazon Web Services (enterprise cloud computing) could reap some pent-up demand as businesses and government establishments have transitioned to remote workforces.
Still, we would be wary of a sharp decline in consumer spending amid the specter of a global economic recession. /Tuna N. Amobi, CFA, CPA

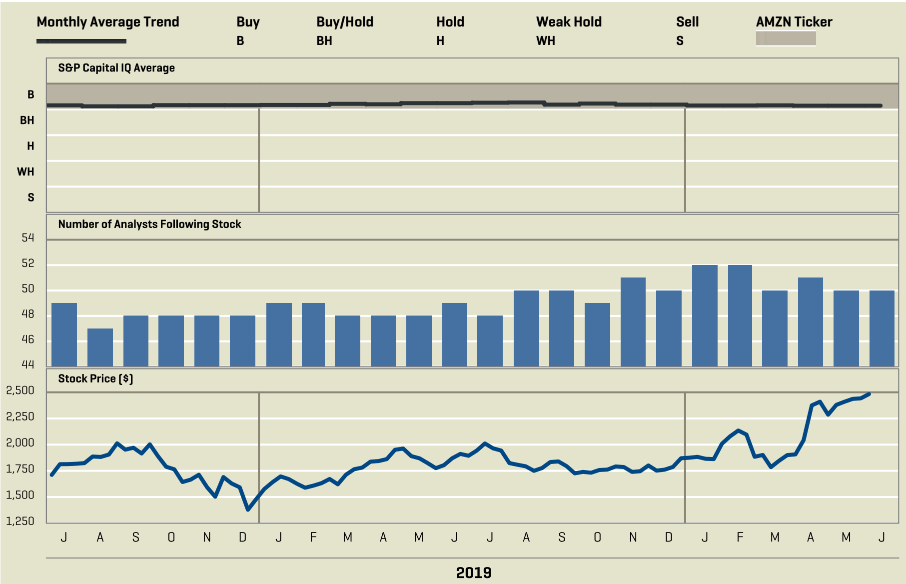
April 24, 2020
12:15 pm ET... CFRA Keeps Buy Opinion on Shares of Amazon.com, Inc. (2399.45****): With its Q1 results set after the market's closing on April 30, AMZN could achieve (if not exceed) the higher end of its target 16%-22% sales growth and consolidated EBIT of $3.0B-$4.2B. While its global supply chain and delivery/fulfillment services could be somewhat hobbled by the Covid-19 disruption, AMZN should see an e-commerce surge on increased online shopping amid in-home confinement, as it plans to fill 100,000 new positions across its U.S. fulfillment/delivery network. We see another potential catalyst for continued strong growth in Prime membership subscriptions and online grocery offerings (via Amazon Fresh and Whole Foods), while Amazon Prime Video sees a likely spike of in-home streaming. Also, Amazon Web Services (enterprise cloud computing) could reap some pent-up demand as businesses and government establishments have transitioned to remote workforces. Still, we would be wary of a sharp decline in consumer spending amid the specter of a global economic recession. /Tuna N. Amobi, CFA, CPA

April 13, 2020
09:14 am ET... CFRA Keeps Buy Opinion on Shares of Amazon.com (2042.76****): With an e-commerce surge on increased online shopping amid the Covid-19 outbreak, AMZN plans to fill 100,000 new positions across its U.S. fulfillment centers and delivery network. We see another potential catalyst for continued strong growth in Prime membership subscriptions and certain online grocery offerings (via Amazon Fresh and Whole Foods). Separately, Amazon Prime Video seems among the notable beneficiaries of the recent spike of in-home streaming viewership, amid social distancing practices on the Covid-19 outbreak. Meanwhile, increased telecommuting and teleconferences in the wake of Covid-19 could spur demand for Amazon Web Services (cloud computing), as businesses and government establishments have transitioned to remote workforces. On the other hand, parts of AMZN's global supply chain and delivery/fulfillment services could be hobbled by the Covid-19 disruption, seemingly ill-timed for its historically successful annual Prime Day promotional event which takes place in July. /Tuna N. Amobi, CFA, CPA

January 30, 2020
06:11 pm ET... CFRA Keeps Buy Opinion on Shares of Amazon.com, Inc. (1858****): We raise our 12-month target price by $350 to $2,300 on '20 price-to-sales of 3.4x, seen as attractive vs. peers. We cut '20 EPS estimate by $5.82 to $27.04 and set '21's at $38.
45. Q4 EPS of $6.47 vs. $6.04 was $2.50 above the consensus. Net sales rose 21%, above AMZN's target range of 11%-20%, once again led by the Amazon Web Services (up 34%), with North America and international units up 22% and 15% (after forex). Consolidated operating income was $3.9B, well above AMZN's target of $1.2B-$2.9B, despite ratcheted shipping costs of the accelerated rollout of one-day delivery (likely fueling Prime membership growth through the holiday season), plus further investments in devices, video, stores/grocery delivery (with Whole Foods), and global expansion. AMZN sees Q1 '20 operating income of $3.0B-$4.2B on sales growth of 16%-22%, relatively encouraging for a seasonally slow period. Pending antitrust probes in the U.S. and Europe portend a near-term regulatory overhang. /Tuna N. Amobi, CFA, CPA

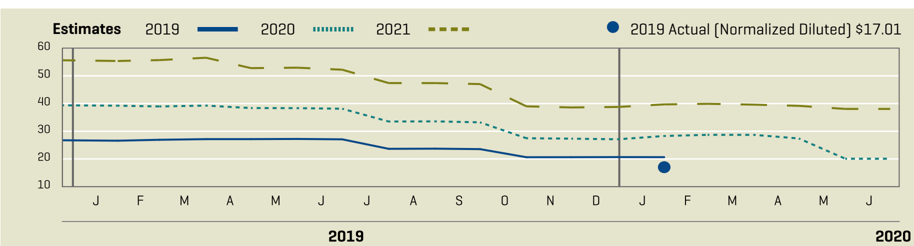
Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

Analysts' Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	35	70	35	34
Buy/Hold	9	18	9	10
Hold	4	8	4	3
Weak Hold	0	0	0	0
Sell	0	0	0	0
No Opinion	2	4	2	3
Total	**50**	**100**	**50**	**50**

Wall Street Consensus Estimates



Fiscal Years	Avg Est.	High Est	Low Est.	# of Est.	Est. P/E
2021	38.05	59.60	17.85	43	65.3
2020	20.06	34.70	10.82	42	NM
2021 vs. 2020	**▲90%**	**▲72%**	**▲65%**	**▲2%**	**NA**
Q2'21	7.23	12.24	3.28	16	NM
Q2'20	1.45	5.23	-2.38	36	NM
Q2'21 vs. Q2'20	**▲399%**	**▲134%**	**▲238%**	**▼-56%**	**NA**

Forecasts are not reliable indicator of future performance.

Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.

Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Wall Street Consensus Opinion

BUY

Wall Street Consensus vs. Performance

For fiscal year 2020, analysts estimate that AMZN will earn USD $20.06. For the 1st quarter of fiscal year 2020, AMZN announced earnings per share of USD $5.01, representing 25% of the total revenue estimate. For fiscal year 2021, analysts estimate that AMZN's earnings per share will grow by 90% to USD $38.05.

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs (American Depositary Receipts), and ADSs (American Depositary Shares) based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS (Stock Appreciation Ranking System), equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark (e.g., a regional index (S&P Asia 50 Index, S&P Europe 350® Index or S&P 500® Index)), based on a 12-month time horizon. STARS was designed to meet the needs of investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

(also known as **S&P Capital IQ Earnings & Dividend Rankings**) - Growth and stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsulize the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+	Highest	B	Below Average
A	High	B-	Lower
A-	Above Average	C	Lowest
B+	Average	D	In Reorganization
NR	Not Ranked		

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus (average) EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

CFRA Equity Research

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Abbreviations Used in Equity Research Reports

CAGR - Compound Annual Growth Rate
CAPEX - Capital Expenditures
CY - Calendar Year
DCF - Discounted Cash Flow
DDM - Dividend Discount Model
EBIT - Earnings Before Interest and Taxes
EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
EPS - Earnings Per Share
EV - Enterprise Value
FCF - Free Cash Flow
FFO - Funds From Operations
FY - Fiscal Year
P/E - Price/Earnings
P/NAV - Price to Net Asset Value PEG Ratio - P/E-to-Growth Ratio PV - Present Value
R&D - Research & Development ROCE - Return on Capital Employed ROE - Return on Equity
ROI - Return on Investment
ROIC - Return on Invested Capital
ROA - Return on Assets
SG&A - Selling, General & Administrative Expenses
SOTP - Sum-of-The-Parts
WACC - Weighted Average Cost of Capital

Dividends on American Depository Receipts (ADRs) and American Depository Shares (ADSs) are net of taxes (paid in the country of origin).

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ **5-STARS (Strong Buy):**

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★☆ **4-STARS (Buy):**

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months, with shares rising in price on an absolute basis.

★★★☆☆ **3-STARS (Hold):**

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months, with shares generally rising in price on an absolute basis.

★★☆☆☆ **2-STARS (Sell):**

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months, and the share price is not anticipated to show a gain.

★☆☆☆☆ **1-STAR (Strong Sell):**

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the S&P Europe 350 Index and the S&P Asia 50 Index, respectively.

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Quantitative Stock Reports:

Quantitative recommendations are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five (six) model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative recommendations refer to the Glossary section of the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of December 31, 2019

Ranking	North America	Europe	Asia	Global
Buy	33.4%	29.0%	41.1%	33.5%
Hold	56.1%	54.8%	46.4%	54.6%
Sell	10.5%	16.2%	12.5%	11.9%
Total	100.0%	100.0%	100.0%	100.0%

Analyst Certification:

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